

Global Superstore – Discount and Pricing Approval Policy

Purpose

This policy governs how discounts are applied to orders and what approval is required before a discount is honored, based on the Discount field recorded per line item.

Standard Discount Tiers (No Approval Required)

- **0–10%:** Auto-approved for all segments and categories. Commonly applied to Office Supplies and promotional Technology accessories.
- **11–20%:** Auto-approved for Corporate and Home Office segments only. Consumer-segment orders in this range require a manager override code.

Elevated Discount Tiers (Approval Required)

- **21–30%:** Requires regional sales manager approval, logged against the Order ID before the order is fulfilled.
- **31–50%:** Requires both regional sales manager and finance approval. Typically reserved for end-of-quarter clearance on Furniture and aged Technology inventory.
- **Above 50%:** Escalates to the Business Operations team for review. These discounts are flagged for profitability review since Profit can go negative at this tier, particularly on high-Shipping-Cost Furniture items.

Category-Specific Discount Rules

- **Furniture:** Discounts above 30% require confirmation that the item is not a custom or made-to-order product, since those are non-returnable and carry different margin protections.
- **Technology:** Discounts on Phones and Copiers above 25% require verification that the item is not part of an active manufacturer price-protection agreement.
- **Office Supplies:** No cap beyond the standard tiers above; these are the most frequently discounted category during volume promotions.

Segment-Specific Discount Rules

- **Consumer:** Discounts above 20% are limited to seasonal promotional windows communicated by the marketing calendar.
- **Corporate:** Volume-based discounts (10+ units of the same Product ID) can stack with standard tier discounts up to a combined cap of 35%, without triggering finance approval, provided the order's overall Profit margin remains positive.
- **Home Office:** Discounts follow the same rules as Consumer, with no additional stacking allowed.

Negative-Profit Orders

Any order where the discounted Sales price results in negative Profit (accounting for Shipping Cost) is automatically flagged for review regardless of discount tier. Recurring negative-profit orders from the same Customer ID trigger an account-level pricing review.

Regional Notes

Markets with local currency fluctuation (LATAM, Africa, EMEA) may see discount percentages adjusted at the point of sale to preserve minimum margin thresholds

in USD-equivalent terms; the recorded Discount field reflects the final applied rate.